

EXPONENTIAL ORGANIZATIONS

Why new organizations are ten times better, faster, cheaper than yours (and what to do about it)

SALIM ISMAIL (with Mike Malone & Yuri van Geest)



The Big “So What”

Today, we’re surrounded by massive, disruptive changes, which will grow even faster and more extensive. No company or industry is immune. **This book equips business leaders with the knowledge and strategies to build and scale organizations that can thrive in times of exponential change.**



Introduction

In the early days of agriculture, there was a linear relationship between input (e.g. # oxen or human laborers) and output (e.g. amount of crops). With the birth of machines during the industrial age, the input-output ratio grew dramatically. Large corporations that invested in machines and long-term R&D thrived.

Yet, these large corporations are now being obliterated by a new breed of companies. Between the 1920s and 2014 (when this book was published), the lifespan of Fortune 500 Companies fell from 67 to 15 years. Billion-dollar companies like Instagram, Youtube and Airbnb are achieving exponentially higher growth at a fraction of the time/cost, making it impossible for traditional businesses to compete.

To survive and thrive in times of exponential change, we need to build Exponential Organizations (ExOs), i.e. organizations whose impact or outputs are $\geq 10x$ larger than their peers due to how they leverage accelerating technologies. This summary is organized into 2 parts:

- Understanding ExOs: the factors and attributes behind ExOs’ exponential growth, and why they thrive in this new environment; and

KEY QUOTES

“We’ve learned how to scale technology; now it’s time we learned how to scale organizations.”

*“Any company designed for success in the 20th century is doomed to failure in the 21st.”
—David S. Rose*

*“This new age calls for a different solution to building new business, to improving rates of success and to solving the challenges that lie ahead.
That solution is the Exponential Organization.”*

- Building ExOs: how to start ExOs, transit or respond to ExOs.



Part 1: Understanding Exponential Organizations (ExOs)



From Linear to Exponential Growth



Moore's Law says that the power of computation doubles every 18 months. Kurzweil's Law of Accelerating Returns goes further to say that:

- Moore's Law can be found in any information technology;
- The accelerated growth is triggered once something (a technology, industry etc.) becomes powered by information;
- Once the doubling starts, it doesn't stop (because the new tech is used to build even better tech); and
- More and more technologies are now undergoing accelerated growth, including medicine, biotech, robotics, artificial intelligence (AI), etc. This means a higher chance of them intersecting to create even more explosive growth. For example, the introduction of digital cameras brought the marginal cost of photo-taking down to zero. Concurrently, there were exponential changes in social media, smart-phone technology, network speed, etc. When combined, these allowed digital photos to be taken, edited, stored, shared and used in countless ways that weren't even conceivable in the analog age.



ExOs can grow so rapidly because they rely on information technologies, not physical resources. This allows them to halve their prices and/or double their performance every 1-2 years.

- Yet, experts and traditional organizations still tend to think linearly. In 1990, the Human Genome Project was launched to fully sequence 1 genome. By 1997, the team had only sequenced 1% of the human genome. Experts condemned the project to fail, saying it'd take another 700 years to finish the project. Yet, the project was completed just 4 years

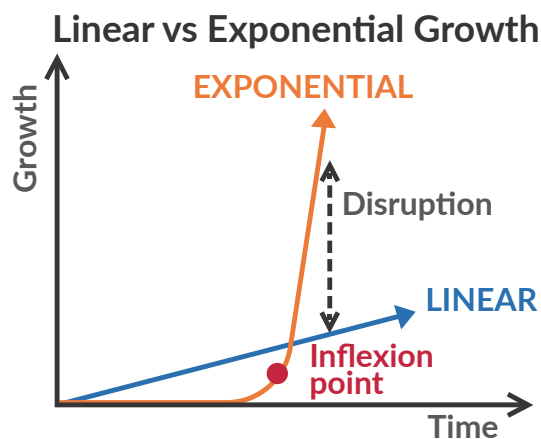
KEY QUOTES

"The era of traditional, hierarchical market domination by dinosaur companies is coming to an end. The world now belongs to smarter, smaller and faster-moving enterprises."

"An information-based environment delivers fundamentally disruptive opportunities."

later in 2001 because it was moving at an exponential (not linear) rate. Genome sequencing continued to progress exponentially, with costs plummeting from \$2.7bil for the first project to \$100k in 2011 and \$1,000 in 2014.

- This same trend can be found across other exponential tech. Average 3D printing costs fell 400x in 7 years, industrial robots cost fell 23x in 5 years, solar costs fell 200x in 20 years, and so on. The internet and and info revolution may have brought disruptive changes to many industries (e.g. publishing, travel, advertising), yet we've probably seen only <1% of the changes to come in the next 30-40 years.



Linear thinking works in a stable/predictable environment, where past successes can be used to project future growth. In face of exponential changes, you need a fundamental shift in thinking.

- In 2007, Nokia invested \$8.1bil to buy Navteq, the market leader in road sensors. That same year, Apple launched the iPhone, catalyzing a tsunami of changes in smartphones and related apps.
- A small Israeli company, Waze, soon entered the market. Unlike Nokia (which followed old rules and invested in physical infrastructure), Waze used crowdsourcing to tap on the GPS sensors on users' phones. They could gather traffic data rapidly and ride on technology upgrades on users' phones without heavy hardware investments. Waze grew exponentially and was acquired by Google in 2013 for \$1.1bil. Nokia's market valuation tanked and was knocked out of the game.



ExO Characteristics and Attributes



The authors studied 100 fastest growing startups globally over 6 years, focusing on ExOs that grew their outputs by at

KEY QUOTES

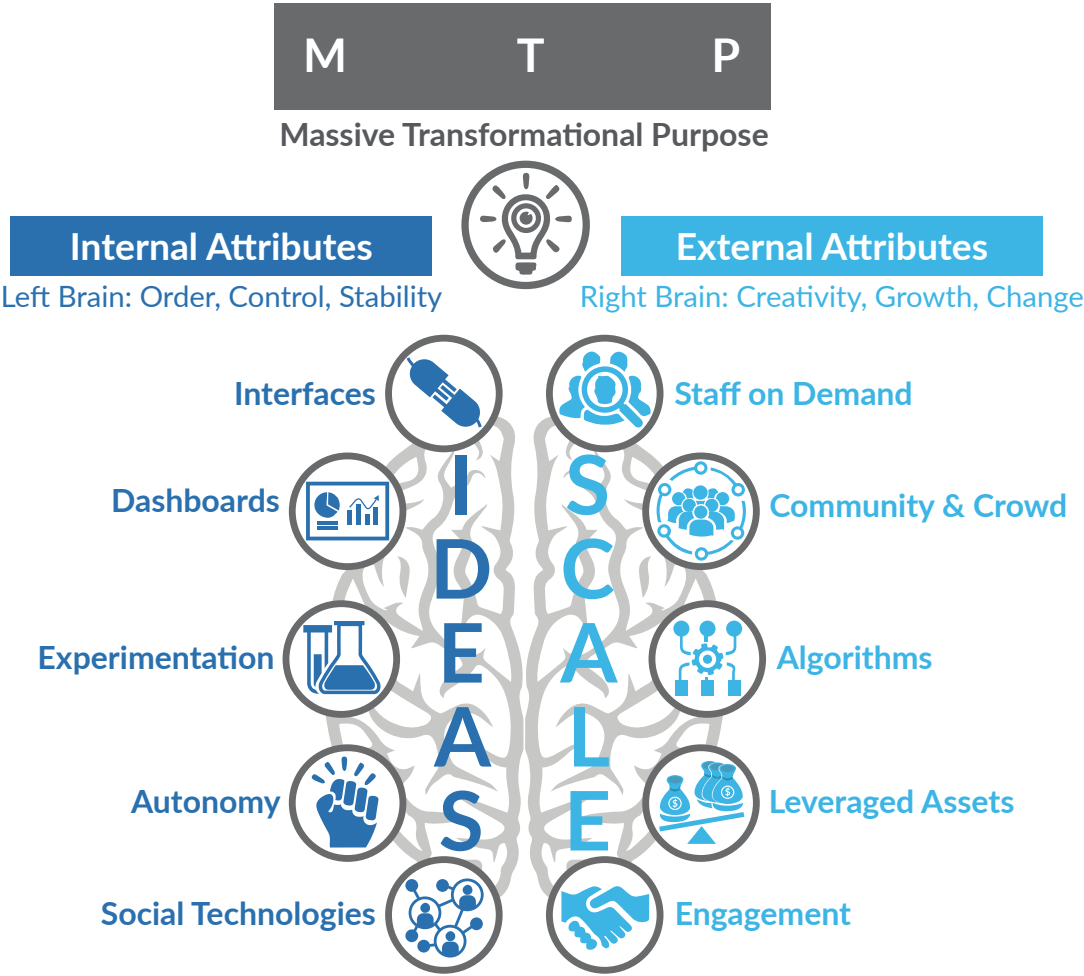
"When you think linearly, when your operations are linear, and when your measures of performance and success are linear, you cannot help but end up with a linear organization."

"Traditional linear thinking doesn't work in an exponential world. Simply put, it cannot compete."

least 10x in 4-5 years. These included: Airbnb, GitHub, Local Motors, Quirky, Google Ventures, Valve, Tesla, and Tangerine.

- Each of these ExOs reached billions in valuation in <6 years. For example, Quirky can bring a product from concept to retail shelves in just 29 days (vs 253 days for an average Consumer Packaged Goods company). Airbnb reached almost \$10 bil in valuation—more than Hyatt Hotels—within 6 years of its startup, even though it had no physical assets.
- All of these ExOs (i) leverage resources that they don't own, and (ii) use information as a key driver. In particular, each ExO fulfills at least 4 of 11 key attributes including:

- (i) A Massive Transformative Purpose (MTP); and
- (ii) ≥3-4 of 10 key internal/external attributes that accelerated their growth. These are akin to the 2 hemispheres of the brain—the right brain focuses on creativity and growth while the left brain focuses on control and stability.



KEY QUOTES

“The real, fundamental question of our exponential age is: ‘What else can be information-enabled?’”



Massive Transformative Purpose (MTP)



Every ExO has an MTP or a higher, aspirational purpose that drives them to pursue unconventional strategies and rapid growth.

- An effective MTP must be unique and supported by leaders who walk the talk. It must also be aspirational, i.e. it captures what the ExO aspires toward, e.g. “Ideas worth spreading” (TED) or “Organize the world’s information” (Google).
- It’s broad enough to capture the imagination and ambitions of both internal and external stakeholders, creating a cultural movement and ecosystem around the ExO. Think of Apple fans queuing up for their product launches and the large community of iOS app-developers.



A strong MTP offers real competitive advantages:

- It creates a strong brand positioning that’s hard to dislodge.
- It attracts talent, acts as an anchor in face of change/uncertainty and thus reduces acquisition, retention and attrition costs.
- An ambitious MTP solves a big problem to create economic value.



5 External Attributes: SCALE



Staff on Demand (SoD). In a fast-changing environment, it’s hard to keep employees’ skills and knowledge updated. Most ExOs don’t have permanent, fixed relationships with the bulk of their workers. For example, Gigwalk taps on a network of smart-phone users who can be hired for gigs.

- With billions on people on the internet, a growing number and quality of freelancers as well as hiring platforms, it’s now possible to get talents for almost anything. P&G uses Gigwalk’s network to do real-time checks on their stocks on supermarket shelves. Insurance giant Allstate uses contests

KEY QUOTES

“Aspirational brands create positive feedback loops in the ExO’s community: customers feel good about the products and are increasingly proud to be part of a larger, virtuous movement.”

“No matter how talented your employees, chances are that most of them are becoming obsolete and uncompetitive right before your eyes.”

to improve its algorithms. CEOs can even hire people to track and manage their board of directors.

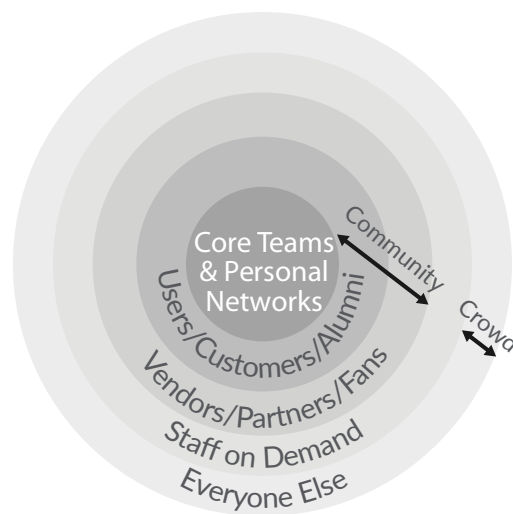
- SoD provides several benefits, including (i) low fixed costs, (ii) flexibility to rapidly scale up/down or change your skills-mix, and (iii) diversity and fresh ideas.



Community & Crowd. ExOs customers are often connected in self-supporting communities. They work with each other and with the ExO. Chris Anderson's "DIY Drones" community managed to design and build a \$300 drone that's similar to the US military's Predator drone (which costs \$4mil).

- You can find communities on the internet for almost any interest, goal or belief. Startups can join existing communities, then branch out after building a critical mass. To build a community:
 - (i) Use the MTP to attract and engage your initial members.
 - (ii) Nurture the community by listening and contributing to it. Treat this as a long-term investment, not a transactional relationship.
 - (iii) Create a platform to facilitate/automate peer-to-peer exchanges, like how Airbnb connects hosts and users for bookings and reviews.

- Crowds are beyond your core community. They're harder to reach, but include many more people. You can leverage on crowds for (i) creativity (e.g. generate, develop or spread ideas & innovations), (ii) validation (e.g. check if a product/service meets expectations), or (iii) funding (e.g. via crowdfunding).



Algorithms and AI can reduce human biases and errors in decision-making, as well as handle complex modelling. Google grew its revenue by >100x from 2002 to 2012 primarily due to its PageRank algorithm. Today, it uses data in *all* aspects of its operations.

KEY QUOTES

"If you build communities and you do things in public, you don't have to find the right people, they find you."
—Chris Anderson

"True community occurs when peer-to-peer engagement occurs."

"Almost all the business insights and decisions of tomorrow will be data-driven."

- There are now 2 types of algorithms shaping the future:
 - (i) Machine Learning (ML) is about using training/historic data to predict and perform new tasks, e.g. using past movie ratings to create algorithms for movie recommendations.
 - (ii) Deep Learning (DL) is a subset of ML. It's about using discovery and self-indexing (*without* historical/training data) to identify/learn new patterns. It's similar to how a child picks up a new language.
- ExOs typically apply algorithms in 4 steps:
 - (i) Gather data (via humans/sensors or from external sources);
 - (ii) Organize the data (extract → transform → load);
 - (iii) Apply ML or DL tools (to analyze trends, insights or create new algorithms); and
 - (iv) Expose the data to the ExO community, so they can use it to develop new services, functions or innovations.



Leveraged Assets. It's common for businesses to lease non-strategic items like office space or copiers. However, ExOs also lease assets in *strategic* areas, e.g. Airbnb doesn't own the rooms being rented out. This (i) lowers the marginal cost of supply, (ii) removes the need for assets management, and (iii) provides the flexibility to scale up/down quickly. The only exception could be for scarce resources (e.g. Tesla owning its factories).



Engagement is about creating positive feedback loops that improve loyalty, ideation and learning, all of which allow ExOs to create network effects for rapid growth.

- Key techniques include: gamification, digital reputation systems, and incentive competitions (e.g. prizes for the best ideas or the "Employee of the Month" award). Effective engagement usually involves elements like social comparison, a sense of control/impact, clear rules/goals, instant feedback, a scoring system, and rewards for outputs/results.

KEY QUOTES

"Gaming isn't just something that young people do, it is a large part of what and who they are."

- It can increase collaboration, loyalty and innovation in both internal and external ecosystems.



5 Internal Attributes: IDEAS



Interfaces. SCALE generates so much external data/activities (and at such a fast pace) that ExOs must have strong internal mechanisms to robustly filter and match these inputs to their internal goals. Interfaces basically act as the *bridge* between external growth drivers and internal stabilizing factors.

- Interfaces usually start out as manual processes (which are slower and more error-prone). Over time, they're progressively automated until the ExO can run certain processes fully on algorithms, e.g. Google Adwords use algorithms to manage online searches/ads. Quirky's interfaces help it to filter, rank and manage >1 million inventors in its community.
- Such interfaces are usually unique and proprietary to the ExO, and become a valuable intellectual property.



Dashboards. ExOs make key external/internal data clear and accessible to everyone.

- Today, it's much easier to collect and process data like #users, registrations, upgrades, and cash receipts. With technology (e.g. Internet, cloud and sensors), you can also track and analyze data across time and geographical boundaries.
- ExOs widely use Objectives and Key Results (OKRs): they define where they wish to go (objectives) and the metrics (key results) that'd tell them if they're on-track. Focus on value metrics that provide real insights for business growth (e.g. repeat usage, retention %, Net Promoter Scores). Put these metrics on a live dashboard so you can evaluate your organization's internal and external performance real-time and take timely actions.



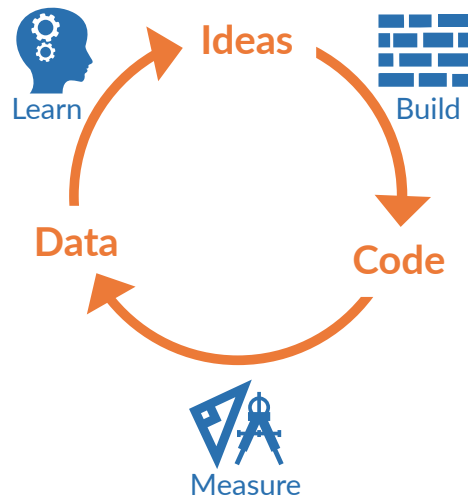
Experimentation. With today's rapid rate of change, you can't afford not to try new ideas. Use experiments to quickly test and filter lots of ideas at minimal costs/risks.

KEY QUOTES

"Interfaces are critical if an organization is to scale seamlessly, especially on a global level."

"Large numbers of bottom-up ideas, properly filtered, always trump top-down thinking, no matter the industry or organization."

- Use the Lean Startup approach to constantly test assumptions and validate ideas in the Build-Measure-Learn loop, i.e. research customer needs → test if an idea fulfills those needs → refine & test next iteration. Your goals are to (i) know asap if you're on the wrong track, and (ii) discover new insights/paths that you wouldn't otherwise have considered.



- In ExOs, ideas are generated and tested at all parts of the organization. For example, Adobe Systems encouraged its employees to pursue new ideas by equipping them with a workshop, a startup guide, \$1,000 seed money, and support from innovation coaches.
- Successful experimentation requires a willingness to fail. Validate ideas in weeks or months instead of wasting time/resources building things the market doesn't want. If a product doesn't meet your goals, pivot or redirect the resources elsewhere.



Autonomy is about having small, self-organizing, multi-disciplinary teams that operate with decentralized authority.

- This allows the organization to innovate and evolve rapidly. For example, gaming company Valve Software gives its staff the freedom to join or start projects that fit the company's MTP.
- Autonomy ≠ No accountability. The difference is, people and resources are organized around competencies and results (not job titles). People are regulated by peer-accountability (not top-down authority).



Social Technologies are about using digital mediums and platforms to achieve 3 key goals: (i) close the gap between info and decision-making, (ii) let info flow to you instead of having to look for it, and (iii) leverage communities for ideas.

- These can be broken down into 7 main components: (i) social goals (e.g. manage employee relations), (ii) activity streams (e.g. share key data/updates), (iii) task management

KEY QUOTES

"Success is a lousy teacher. It seduces smart people into thinking they can't lose."
—Bill Gates

"Autonomy is a prerequisite for permissionless innovation."

(e.g. dynamic metrics & results-tracking), (iv) file-sharing (using tools like Google Drive or Dropbox), (v) telepresence (e.g. connect via videoconferencing), (vi) virtual worlds (where people can collaborate & interact), and (vii) emotional sensing (using tools like sensors or neurotech).

- Social technologies can increase transparency and connectedness to accelerate decision-making, learning and innovation. This reduces the time taken for a fresh idea to be reviewed and implemented.

Most ExOs do *not* have all 10+1 attributes. **Generally, if you have ≥ 4 out of 11 attributes, you're likely to achieve 10x better performance.** You can use the diagnostic test in the book to evaluate how exponential your organization is.



9 Dynamics of an ExO Ecosystem

Ultimately, ExOs internalize certain philosophies that shape how they think and act. The 10+1 attributes are a manifestation of those philosophies and explain how ExOs exploit 9 key dynamics.



Info-enabled acceleration. Once something physical is digitized and info-enabled, it gets on the accelerated growth path of Moore's law. When digitization happens concurrently in multiple domains (like the case of digital photos), the combined effects are explosive. Increasingly, we'll see winner-takes-all markets emerging, e.g. 1 search engine (Google), 1 e-commerce site (Amazon).



Demonetization. The internet offers abundant resources at low/no costs, creating new opportunities and rendering many business models obsolete.

- The marginal cost of sales and marketing has fallen to almost zero with free advertising options like Craigslist and Amazon. Companies with a high Net Promoter Score (which measures how likely a customer will recommend a brand or product to others) basically have free sales through word-of-mouth.
- The same trend is found in other areas, from R&D to delivery. Social networks, crowdsourcing and "collaborative

KEY QUOTES

"Once you change the substrate from a material, mechanical basis to a digital and informational one, the match is lit for an inevitable explosion."

"Whatever business you are in, chances are your competitors are not what they used to be."

"As technology brings us a world of abundance, access will triumph over ownership."

consumption” (e.g. coworking space, car-sharing) have revolutionized markets. For example, it costs Uber almost nothing to add a car and driver; it costs Airbnb almost nothing to add an additional room. Access is now more important than ownership.



Disruption is the new norm. In the past, disruption was rare. Today, it's *expected*. It's also more likely to come from startups than incumbents. There's a common pattern for disruptive innovation: Something is info-enabled → Costs drop drastically & access is democratized → An open-source community emerges → Convergence with other new tech brings phenomenally better & cheaper products/services → Status quo is disrupted.



Beware of Experts. The best innovations tend to come from people *outside* a domain with fresh perspectives, not industry experts. The authors believe that ExOs will increasingly adopt a hybrid approach, where experts highlight challenges and suggestions, but the best solutions are validated by geeks, using data.



Thrash the 5-Year Plans. In face of complex, exponential changes, you can't accurately predict the future. 5-year strategic plans are potentially dangerous as your forecasts may be so off-the-mark that you take the company down a wrong path. Instead, it's better to:

- Establish a clear vision or MTP;
- Set up an ExO structure (including dashboards with live metrics);
- Make effective strategic decisions; and
- Implement with a 1-year plan (or less), refining your approach along the way.



Small triumphs big. Today, the benefits of being nimble and flexible far outweighs those from economies of scale. Small organizations can now access resources that were previously available only to the big boys. In addition, they can take bigger risks since they have limited downsides and huge upsides. So, what happens when ExOs become big and successful?

KEY QUOTES

“You now must assume that someone will disrupt you, and often from a direction you least expect.”

“History has shown that the best inventions or solutions... almost always come from outsiders....who offer a fresh perspective.”

“In an exponential world, the five-year plan is not only unworkable, it is seriously counterproductive.”

“Both now and in the coming years, adaptability and agility will increasingly eclipse size and scale.”

So far, established ExOs tend to evolve into platforms that enable *other* companies to grow in a symbiotic way (e.g. Google, Facebook, Amazon, Apple).

 **Rent, not own.** There're a growing range of technology and tools that can be rented at low cost, from cloud computing to labs and even aircraft engines. You can also rent people, from temps to groups or people-on-demand.

 **Trust and openness** are vital for fast info-exchange and decision-making, to assess performance honestly and evolve quickly.

 **Anything is measurable and knowable.** With new tools and sensors, it's a matter of time before *everything* inside/outside your body can be measured and diagnosed. You can also tap on billions of smartphone users—each equipped with cameras, apps and GPS—to measure, record, track and share all sorts of data.

Part 2: Building an Exponential Organization

Starting an ExO

 Any startup—be it a brand new startup or a “startup” within an existing organization—must address 3 key startup risks:

- Technology risk. Costs for servers, cloud-computing, coding etc. have plummeted in the last decade. You can also plug in to many third party software using API functions. Thus, tech risks are now negligible for info-based or info-enabled businesses.
- Market risk is also negligible given the range of options for A/B testing, digital marketing and even crowdfunding. Now, you can validate an idea and even sell something before you produce it.
- Execution risk is the only real risk, and this section addresses how to set up your team/organization to minimize this risk.

KEY QUOTES

“Transparency is the new currency. Trust is the bill we’ll just be paying for.”
—Theo Priestley

“We are moving toward a world in which everything will be measured and anything can be knowable...Only enterprises that plan for this new reality will have a chance at longterm success.”



In 2013, Aileen Lee released findings on success factors of “Unicorns” or US-based software startups with >1bil market cap. These are basically high-performing ExOs. Notably, most of them stuck to their original vision (or MTP) instead of pivoting to a different area. Drawing from Lee’s research and their own analyses, the authors break down the key steps involved in building an ExO:

- Select an MTP that’s an extension of the founders. Ask questions like: What’s the biggest problem I’d like to solve? What do I truly care about? What am I meant to do? Ensure your MTP is indeed massive, transformative *and* purposeful.
- Join/start relevant communities that share your MTP. Build long-term relationships instead of trying to reap short-term returns. Always do/choose what’s good for the community, not the company.
- Build a synergistic core team. Ensure everyone is passionate about the MTP. Have a diverse team with complementary skills (including visioning, user experience design, engineering, and business).
- Breakthrough idea. An ExO idea must be transformational, i.e. it must (i) deliver $\geq 10x$ improvement over the status quo, (ii) leverage info to drastically cut the marginal cost of additional supply, and (iii) offer a solution that customers will use several times a day. Be prepared to persevere through many iterations and/or investor pitches before you achieve your breakthrough.
- Use the Business Model Canvas by Osterwalder to consider how to bring the idea to market. Keep it simple.
- Develop a Business model. Disruption usually comes from new business models, not new products. Typically, these are freemium models that (i) use 8 new value drivers below (by Kevin Kelly) to generate revenues, and (ii) align/partner with other ExOs to disrupt an entire domain instead of just 1 product/service.

KEY QUOTES

“An MTP is not a business decision. Finding your passion is a personal journey.”

“Whatever your passion...there are communities out there filled with other passionate, purpose-driven people devoted to the same crusade.”

“This is about conviction and passion on the one hand, and radical, unconventional, breakthrough ideas on the other.”

“If you’re going to achieve a 10x improvement, there’s a strong likelihood that your company will require a completely new business model.”

Value Driver	Description
Immediacy	Let people be the 1 st to know about or experience something of value
Personalization	Tailor something to make it “sticky”: improve the experience, ease-of-use or functionality
Interpretation	Make something faster, easier or better to use
Authenticity	Give assurance that something is reliable/safe/warranted
Accessibility	Help people to organize and find things quickly
Embodiment	Give digital info a physical form (e.g. movie screen, smartphone)
Patronage	Let fans show their appreciation: make it easy to pay, have a reasonable fee, and show how it'll help the creator
Findability	Stand out amidst all the noise

- Build a Minimum Viable Product (MVP). This is the simplest possible form of the product to test assumptions and gather feedback for the next product iteration.
- Validate Marketing & Sales, i.e. attract qualified prospects and convert them into users.
- Implement SCALE + IDEAS: Start with at least an MTP plus 3-4 other attributes.
- Establish your culture to anchor the organization amidst ceaseless change. Design your OKRs, introduce transparency, accountability and excellence, then track, manage and reward performance.
- Repeatedly ask 8 key questions: Who's your customer? What customer problem are you solving? What's your solution (and does it improve status quo by $\geq 10x$)? How will you market it? How will you sell it? How do you turn customers into advocates? How will you scale your customer segment? How will you drive the marginal cost of supply towards zero?
- Build & maintain a platform, using 4 steps by Sangeet Paul Choudary: Identify a pain point (or use case) for a consumer → Identify a core value unit of interaction that you can leverage (e.g. pictures, reviews) → Find ways to facilitate that interaction → Find ways to build a network around that interaction.

KEY QUOTES

“In a fast-scaling organization, culture...is the glue that keeps a team together.”



Unlike new startups, Enterprise ExOs (EExOs) face extra resistance from their parent companies. To address that:

- Only target new markets, to avoid being attacked by your own parent company. Set up a small, autonomous unit to do so.
- Get direct support from the CEO.
- If you're successful, spin it out as a new company with its own systems and policies.
- Get the biggest rebels and change-makers in your organization to work on the EExO.



Transforming Mid-Market Companies



To transform an established company, you must use what you already have. This means that the approach varies with each case and there's no fixed formula. Generally, there're 2 prerequisites: (i) a highly adaptable culture and (ii) a visionary leader who's fully supported by the board and senior management.



The authors present several case studies (including GitHub, Coyote Logistics and GoPro) to show different scenarios. For example:

- TED (Technology, Entertainment, Design) Conference was created in 1984 by Richard Saul Wurman. It grew steadily and was a stable company. In 2001, Chris Anderson acquired TED and transformed it with 2 major changes: (i) all past/new TED talks were made free on the Internet, and (ii) a toolkit was created to let TED members create their own TEDx events.
- TED grew exponentially by leveraging its MTP ("Ideas Worth Spreading") and several ExO attributes. These included: (i) community & crowd (the TED community), (ii) algorithms (to choose TED talks to promote), (iii) interfaces (for creating TEDx events), (iv) dashboards (with live statistics on TEDx events) and (v) experimentation (to test different formats).

KEY QUOTES

"When it comes to established companies, every ExO solution is a custom creation."



ExOs for Large Organizations

In most cases, large organizations *fail* to transform themselves due to 3 inherent obstacles: they (i) focus inward (not outward), (ii) focus on technologies that can be leveraged with existing expertise (not converging/adjacent tech), and (iii) rely on internal (not external) innovation.



The authors presented 4 strategies that large organizations can use to move toward ExO thinking while retaining their core businesses:

Strategy	Sub-strategies & Tips
Transform the Leaders 	• Educate senior leaders on accelerating technologies/trends • Educate the board and use OKRs to track their performance • Have diversity (age, gender, experience) amongst senior leaders • Match employees to roles based on skills & leadership levels
Collaborate with, invest or acquire ExOs 	• Create internal ExOs when (a) the opportunity is 1-2 adjacents away from your core business, (b) there's no urgency yet, and (c) the company can hire the required talent. • Acquire ExOs if (a) the market is strategic but very different from your current model (≥ 3 adjacents away), (b) the market inflexion point is near, (c) it's hard to hire the right talent. • Partner with external ExOs if there's no short-term strategic need to own it. Use the chance to learn so you're in a better position to start or acquire ExOs in future.
Disrupt[X] i.e. leverage disruptive technologies 	• Incubate ExOs at the Fringes. Identify proven changemakers → Re-assign them to emerging opportunities that can scale quickly to become new core businesses → Give them flexibility to build ExOs using the Lean approach. Provide minimal resources (to push their limits) but encourage them to leverage existing eco-systems and develop new market/product areas. • Create Black Ops Teams, i.e. secret internal/external teams to compete with each other, disrupt the mothership, and address blind spots & weaknesses that'd otherwise be overlooked. Copy Google[X], i.e. start your own accelerating tech lab to (i) develop breakthrough innovations at budget prices, and (ii) leverage your core competencies. • Partner with accelerators, incubators and hackerspaces (e.g. TechShop, Singularity University Labs).
Implement ExO Lite 	Minimally incorporate these attributes in your organization: • Migrate toward an MTP; and • Explore a combination of these attributes: Community & Crowd, Algorithms, Engagement, Dashboards, Experimentation, Social Technologies.

KEY QUOTES

"The core competencies of a large organization combined with new technology breakthroughs create a potent force that can generate a new future for many big legacy companies."

 The book includes several case studies—such as The CocaCola Company, Haier, Xiaomi, General Electric and Zappos—to show how large organizations are applying the 4 strategies above.



The Exponential Executive

C-level executives (e.g. CEO, CMO, CTO, CFO) will increasingly have to make crucial, time-critical decisions in face of exponential technologies and ExOs. In the book, the authors also outline (i) a list of key accelerating technologies (e.g. sensors, data science and analytics, virtual/augmented reality, bitcoin/blockchain), (ii) related meta-trends, and (iii) key questions, opportunities and implications for various C-level functions.

KEY QUOTES